Testahil — Emirates Integrated Telecommunications Company PJSC (DFM: DU)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the du valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure that can be derived arithmetically from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium rather than pasted; the discount factors compound from the glide; and the income statement, balance sheet, cash flow, ratios and all four lenses chain off the same cells.

THREE THINGS ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclosed history — the primary record, not a calculation. Second, the unit build's output: forecast revenue for the four segments the company itself discloses (Mobile, Fixed, Wholesale, ICT and associated telecom services). Mobile and Fixed are built bottom-up as subscribers x ARPU — the driver table is shown on the Segments sheet — and Wholesale and ICT are grown at segment level because the company discloses no unit KPIs for them; only the build's OUTPUT (segment revenue per year) is pasted, and everything downstream of it is formula. Third, whole-model engine outputs, where each figure is a complete re-run of the entire valuation and so cannot be a single formula: the Monte Carlo price map, the sensitivity grids, and the DCF scenario bear/bull bounds. Everything else — including every lens base value, the relative/normalised/book bear and bull bounds, and the anchor-date roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs.

How revenue is built. Not as one growth rate. Mobile = average subscriber base x blended ARPU x 12; the subscribers-x-ARPU frame reproduces the audited FY2025 mobile segment to within 0.1%. Fixed = subscriber base x implied revenue per subscriber (a consumer-plus-enterprise blend, so an intensity metric, not a tariff). Wholesale and ICT are grown on their own paths — the war-hit roaming/transit recovery and the data-centre ramp respectively.

How cost is built, and why no margin is an input. Direct cost is a COST PER UNIT, not a margin. Mobile carries three separate per-subscriber lines - interconnect, commission, and devices - each with its own escalator, because they are driven by physically different things: termination rates and messaging-app substitution, the cost of winning a customer, and handset volume. Fixed carries a per-subscriber capacity cost. Wholesale and ICT carry a cost rate on their own revenue because the company discloses no volume unit for either - that gap is flagged rather than filled. Every rate is anchored on the H1-2026 reviewed actual and held flat unless a named mechanism has a measured direction in the half-year pair. CONTRIBUTION MARGIN AND GROUP EBITDA MARGIN ARE THEREFORE OUTPUTS, computed on the Segments sheet, never typed in.

The contested judgement — the required return. This is the one judgement that moves the answer more than any other, so it is computed BOTH WAYS on the Fundamental Valuation sheet and never averaged. Framing 1 takes du's own measured beta and capitalises the terminal at the Gordon rate. Framing 2 refuses the re-rating that implies and holds du's CURRENT trailing EV/EBITDA into perpetuity instead. The gap between them is the study, and it is published, not resolved. (The post-2026 fiscal regime was the prior edition's contested judgement; it is no longer contested — du disclosed the 2027-2029 extension itself on 24 July 2026 on the same structure, with the AED 1.8bn combined floor retained. A reversion after 2029 is still priced, as a named tail, on the same sheet.)

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges.

Sourcing note, up front. FY2023, FY2024 and FY2025 all come from the company's own audited consolidated financial statements read from investors.du.ae, and H1-2026 from the KPMG-reviewed interims — every income-statement, balance-sheet and segment line is the filed figure. Segment revenue ties EXACTLY to consolidated revenue in every year (Note 38). du carries ZERO drawn borrowings in every year studied; the only debt-like item is IFRS-16 lease liabilities, and the bridge treats them as debt. Every input is annotated where it appears and listed with source and date in the companion bibliography document.

Leases are debt, and charged once. du has no drawn borrowings; its only debt-like item is the IFRS-16 lease liability. That liability is deducted in the enterprise-to-equity bridge and carries a debt weight in the cost of capital, so NO lease charge belongs in the cash-flow waterfall as well —

perpetual renewal is already paid for in the terminal, where invested capital includes the right-of-use asset and terminal reinvestment maintains it. The right-of-use book is held flat because a new lease creates an asset and a liability together and is non-cash.

Discount convention, stated. Each explicit year is discounted at its own forward cost of capital, at full-year END-of-period factors, gliding 6.69% -> 6.45% on the AED risk-free path (du has no debt whose cost could define the glide); the terminal value, a value dated at the end of year five, is discounted at the year-five factor. A mid-year convention would raise the answer and is not adopted.
One date, one price of time: the bridge is dated 31-Dec-2025 and rolled to the 2026-09-07 anchor at the cost of equity, net of the AED 0.66 of dividends whose EX-dates fall in that window (the 0.40 final, paid 28-Apr-2026, and the 0.26 interim, ex 31-Jul-2026).

Currency. AED million unless stated. Spot AED 11.38 (2026-09-07 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

Summary — valuation at a glance

All values link live to their source sheets

Lens	Bear	Base	Bull	Role	vs price
Discounted cash flow (primary)	9.60	15.54	25.22	THE CENTRAL — the class primary	36.6%
Relative multiples	8.26	8.93	13.09	cross-check	(21.5%)
Normalised earnings power	8.27	8.94	13.11	REMOVED — not a lens this class pul	(21.4%)
Book value and sustainable return	9.54	11.94	12.94	a disclosed floor, never weighted	4.9%
THE CENTRAL — the cash-flow lens, not an averag	**9.60**	**15.54**	**25.22**	the class primary	**36.6%**
NOT AVERAGED — the retired blend, published unused		12.21		retired 02-Sep-2026	7.3%
Span across the lenses (min/max) — a spread between	8.26		25.22		
Contested judgement, other way — no terminal re-rating (Framing 2)		13.78			21.1%
Terminal value share of DCF enterprise value		80.0%			
Expert panel median		15.32			34.6%
Market price (anchor)		**11.38**			

Key figure	Value
Shares outstanding (mn)	4,533
Market capitalisation (AED mn)	51,584
Lease liabilities, FY2025 (AED mn) — the only debt-like item	1,939
Cash and term deposits, FY2025 (AED mn)	2,250
FY2025 revenue (AED mn)	15,905
FY2025 EBITDA (AED mn)	7,338
FY2025 net profit (AED mn)	2,905
Cost of capital — explicit window	6.7%
Cost of capital — terminal	6.5%
Terminal growth	2.0%

Fundamental valuation — the four lenses and the contested judgement

Lens / step	Basis	AED per share
Discounted cash flow	links to the DCF sh	15.54
bear	ARPU −5%, subscr	9.60
bull	ARPU +3%, subscr	25.22
Relative multiples	12.9x justified P/	8.93
Normalised earnings power	12.9x normalised e	8.94
Book value and sustainable return	justified price-to-	11.94
THE CENTRAL — the cash-flow lens itself, not an average of the four		**15.54**

THE CONTESTED JUDGEMENT — THE REQUIRED RETURN, BOTH WAYS

Framing 1: du's own measured beta sets the cost of equity	15.54
the terminal that implies — exit multiple on terminal EBITDA	8.10x
against du's OWN current trailing EV/EBITDA	6.99x
Framing 2: no terminal re-rating — du's current multiple held in perpetuity	13.78
The judgement is worth (Framing 1 less Framing 2, per share)	1.77
Post-2029 fiscal tail: the pre-2024 royalty construction returns after the disclosed	13.20

EXPERT PANEL

Expert	Method	Base (AED/share	Low	High
Expert 1	earnings power	11.53	9.55	13.18
Expert 2	dividend stream	15.32	9.41	19.90
Expert 3	cash returns vs cos	15.76	10.58	17.65
Panel median		**15.32**		

The risk-free tenor question, priced

There is no liquid 10-year AED government point. The base model uses the Jan-2031 AED T-bond (4.48%); discounting instead at the peg-extrapolated 10-year proxy (4.69%) is an	14.87

Assumptions — every input in the model

Blue cells are inputs. Change one and the model reprices: everything downstream is a formula.

Input	FY26E	FY27E	FY28E	FY29E	FY30E
Anchors					
Spot price (AED)		11.38			
Shares outstanding (mn)		4,533			
AED 1.8bn combined annual royalty-and-tax FLOOR — Cabinet decision 8/38 of 2		1,800			
Combined federal royalty + income tax rate (Framing A, audited FY2025)		43.6%			
Regulated revenue share (Framing B base, audited FY2023)		69.0%			
Framing B — royalty rate on regulated revenue		15.0%			
Framing B — royalty rate on regulated profit		30.0%			
H1-2026 reviewed segment actuals — the base the FY2026 build chains off					
Mobile revenue, six months to 30-Jun-2026 (AED mn, reviewed)		3,646			
Fixed revenue, six months to 30-Jun-2026 (AED mn, reviewed)		2,383			
Mobile subscribers at 30-Jun-2026 ('000, reviewed period end)		9,280			
Fixed subscribers at 30-Jun-2026 ('000, reviewed period end)		744			
Wholesale revenue FY2025 (AED mn, audited)		2,568			
ICT revenue FY2025 (AED mn, audited)		1,883			
Wholesale revenue, six months to 30-Jun-2026 (AED mn, reviewed)		1,258			
ICT revenue, six months to 30-Jun-2026 (AED mn, reviewed)		911			
Unit build — mobile and fixed (subscribers x ARPU)					
Mobile subscribers, end of year ('000)	9,450	9,760	10,010	10,240	10,450
Fixed subscribers, end of year ('000)	760	790	815	838	858
Blended mobile ARPU (AED/month)	63.4	63.6	63.8	64.0	64.2
Implied fixed revenue per subscriber (AED/month)	537	545	553	561	569
Wholesale revenue growth	(0.8%)	1.5%	2.0%	2.0%	2.0%
ICT and associated telecom revenue growth	7.9%	11.0%	10.0%	9.0%	8.0%
Direct-cost stack — cost per unit, one escalator per driver class. CONTRIBUTION MARGIN IS NOT AN INPUT HERE: it is computed on the Segments sheet as what is left after each cost line is grown on its own physical driver.					
Mobile interconnect cost, H1-2026 actual (AED/subscriber/month)		16.81			
Mobile interconnect escalator (termination rates, OTT substitution)		(1.5%)			
Mobile commission cost, H1-2026 actual (AED/subscriber/month)		6.31			
Mobile commission escalator (acquisition/retention cost)		3.0%			
Mobile devices and direct services, H1-2026 actual (AED/subscriber/month)		0.96			
Mobile devices escalator (held flat — lumpy, no trend read into it)		-			
Fixed capacity and direct cost, H1-2026 actual (AED/subscriber/month)		68.35			
Fixed capacity escalator (held flat against an observed decline)		-			
Wholesale direct cost / wholesale revenue (H1-2026 rate, held flat)		15.6%			
ICT direct cost / ICT revenue (H1-2026 rate, held flat)		78.5%			
Mobile direct cost, six months to 30-Jun-2026 (AED mn, reviewed)		1,371			
Fixed direct cost, six months to 30-Jun-2026 (AED mn, reviewed)		303			
Wholesale direct cost, six months to 30-Jun-2026 (AED mn, reviewed)		196			
ICT direct cost, six months to 30-Jun-2026 (AED mn, reviewed)		715			
Blended ARPU drift (mix-exhaustion sensitivity; zero in the base case)		-			
Operating expense stack — one escalator per cost class					
Staff cost, FY2026E level (AED mn)		1,035			
Staff escalator (UAE wage inflation)		2.0%			
Network & maintenance, FY2025 base (AED mn, audited)		964			
Network escalator (network scale)		3.0%			
Administrative expense, FY2025 base (AED mn, audited)		190			
Administrative escalator (CPI)		2.0%			
Other operating expense, FY2025 base (AED mn, audited)		133			
Other-expense escalator (CPI)		2.0%			
Marketing / revenue		1.8%			
Telecom licence and related fees / revenue (regulatory revenue share)		2.7%			
Expected credit losses / revenue		1.5%			
Other operating income (AED mn/yr)		15			
Capital intensity and working capital					
Capital expenditure / revenue	15.5%	15.0%	14.5%	13.5%	13.0%
Tangible share of capex (audited FY2025)		86.6%			

PP&E depreciation rate on opening balance (audited FY2025)		15.8%			
Intangibles amortisation rate on opening balance (audited FY2025)		28.9%			
Lease replacement charged inside the explicit window (AED mn)	355	350	345	340	335
Net working capital / revenue (audited FY2025 component days)		(6.7%)			
Cost of capital					
Risk-free rate — Jan-2031 AED T-bond (longest liquid AED tenor)		4.5%			
UAE sovereign default spread (netted out; MARKET-observed basis, +4bp over U		0.0%			
Equity risk premium (UAE total, MARKET basis — mature 4.23% plus a country p		4.3%			
Beta (DU weekly vs FTSE ADX General, 5y)		0.557			
Marginal cost of debt (AED sovereign + GCC telecom spread)		5.1%			
AED risk-free path (defines the glide)	4.5%	4.4%	4.4%	4.4%	4.3%
Terminal risk-free rate		4.3%			
Terminal equity risk premium		4.3%			
Terminal cost of debt		4.9%			
Terminal debt weight		5.0%			
Terminal REAL growth (stated, not derived)		-			
Terminal inflation — UAE house macro path		2.0%			
Weighted asset life, DERIVED from notes 6 and 8 (gross cost of the depreciable		16.7			
Terminal growth = (1+inflation)(1+real growth) − 1		2.0%			
Balance-sheet and bridge anchors					
Lease liabilities at FY2025 (AED mn, audited — the only debt-like item)		1,939			
Cash and term deposits at FY2025 (AED mn, audited)		2,250			
Equity-accounted investees at carrying value (AED mn)		0.5			
Forecast dividend payout ratio (FY2024 actual 98%, FY2025 ~100%)		98.0%			
Yield on cash and term deposits (audited FY2025 effective)		3.3%			
Lease interest rate (audited FY2025 effective)		3.6%			
Dividends gone ex between 31-Dec-2025 and the anchor (AED/share)		0.66			
Days from the 31-Dec-2025 valuation date to the 2026-09-07 price anchor		250			
Incremental capital per unit of real terminal growth (AED mn) — DERIVED from		10,430			
Lens inputs					
Justified price/earnings — Mobily's own, re-derived from its issuer filings. NOT		12.90x			
Peer benchmark dividend yield		4.9%			
Sustainable return on equity		27.0%			

Enterprise value to equity — the bridge

du has no drawn borrowings and no minority interests: the bridge is leases out, cash and deposits in

Step	AED mn	Per share (AED)
Present value of the five forecast years	13,969	3.08
Present value of the terminal value	55,920	12.34
Enterprise value	**69,889**	**15.42**
Less lease liabilities (the only debt-like item)	(1,939)	(0.43)
Plus cash and term deposits	2,250	0.50
Plus equity-accounted investees at carrying value	1	0.00
Equity value	**70,201**	**15.49**

Terminal value as a share of enterprise value	80.0%

No minority interests: every subsidiary is wholly owned (the two H1-2026 Cayman SPVs are 100%-held); non-controlling interests do not appear on the audited balance sheet.

Segments — the unit build and the margin stack

FY2025 disclosed revenue and contribution margins; forecast segment revenue is the unit build's OUTPUT (pasted, blue) and everything below it is formula

Segment	FY2025 revenu	Share	FY2025 margi	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile	7,075	44.5%	60.8%	7,209	7,331	7,568	7,776	7,970
Fixed	4,380	27.5%	85.8%	4,806	5,069	5,325	5,564	5,790
Wholesale	2,568	16.1%	86.4%	2,548	2,586	2,638	2,690	2,744
ICT and associated telecom services	1,883	11.8%	19.4%	2,031	2,255	2,480	2,703	2,920
Total revenue	**15,905**	**100.0%**		**16,593**	**17,240**	**18,011**	**18,734**	**19,424**

Direct cost per unit — each line grown on i	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile interconnect (AED per subscriber per m	16.81	16.56	16.31	16.07	15.83
Mobile commission (AED per subscriber per mo	6.31	6.50	6.69	6.89	7.10
Mobile devices and direct services (AED per su	0.96	0.96	0.96	0.96	0.96
Mobile — total direct cost per subscriber	**24.08**	**24.01**	**23.96**	**23.92**	**23.88**
Fixed capacity and direct cost (AED per subscr	68.35	68.35	68.35	68.35	68.35
Wholesale direct cost / wholesale revenue (no d	15.6%	15.6%	15.6%	15.6%	15.6%
ICT direct cost / ICT revenue (no disclosed unit	78.5%	78.5%	78.5%	78.5%	78.5%

Direct cost (AED mn) — volume x cost per u	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile	2,724	2,768	2,842	2,906	2,965
Fixed	612	636	658	678	696
Wholesale	397	403	411	419	428
ICT and associated telecom services	1,594	1,770	1,946	2,122	2,291
Total direct cost	**5,327**	**5,576**	**5,858**	**6,125**	**6,379**

Contribution = revenue less direct cost	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile	4,485	4,563	4,726	4,870	5,005
Fixed	4,194	4,433	4,667	4,886	5,095
Wholesale	2,151	2,183	2,227	2,271	2,317
ICT and associated telecom services	437	485	534	582	628
Total contribution	**11,266**	**11,664**	**12,153**	**12,609**	**13,045**

Contribution margin — computed, never a	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile	62.2%	62.2%	62.4%	62.6%	62.8%
Fixed	87.3%	87.5%	87.6%	87.8%	88.0%
Wholesale	84.4%	84.4%	84.4%	84.4%	84.4%
ICT and associated telecom services	21.5%	21.5%	21.5%	21.5%	21.5%
Group gross margin	**67.9%**	**67.7%**	**67.5%**	**67.3%**	**67.2%**

Operating expense stack — one escalator p	FY26E	FY27E	FY28E	FY29E	FY30E
Staff (wage escalator)	1,035	1,056	1,077	1,099	1,120
Network & maintenance (network-scale escalat	993	1,023	1,053	1,085	1,117
Marketing (% of revenue)	299	310	324	337	350
Telecom licence and related fees (% of revenue	448	465	486	506	524
Administrative (CPI escalator)	193	197	201	205	209
Other operating expense (CPI escalator)	136	139	141	144	147
Expected credit losses (% of revenue)	241	250	261	272	282
Less other operating income	(15)	(15)	(15)	(15)	(15)
Total operating expenses before D&A	**3,330**	**3,425**	**3,530**	**3,632**	**3,735**
Group EBITDA (contribution less the opex	**7,937**	**8,239**	**8,624**	**8,977**	**9,309**
Group EBITDA margin	47.8%	47.8%	47.9%	47.9%	47.9%

The unit build behind Mobile and Fixed (tr	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile subscribers, end of year ('000)	9,450	9,760	10,010	10,240	10,450
Average mobile base ('000) — (prior end + end	9,365	9,605	9,885	10,125	10,345
Blended mobile ARPU (AED/month)	63.4	63.6	63.8	64.0	64.2
Unit-implied mobile revenue — average base x	-	7,331	7,568	7,776	7,970
Pasted mobile segment revenue (the build outp	7,209	7,331	7,568	7,776	7,970
Check — unit-implied less pasted	-	-	-	-	-

FY2025 reconciliation: average base 9,310k x ARPU 63.3 x 12 = 7,072 vs the audited mobile segment 7,075 (−0.04%). Wholesale and ICT have no disclosed unit KPIs — segment-level growth is the finest sourced level, and that gap is flagged.

Relative multiples and normalised earnings power

Relative lens	Value			
FY2026E earnings per share (AED)	0.71			
Justified price / earnings (Mobily's own, from its issuer filings — no peer median is	12.90x			
Implied value at 31-Dec-2025 (AED)	9.16			
Anchor accretion factor	1.0463			
Less dividends gone ex between the valuation date and the anchor (0.40 final + 0.2	0.66			
Implied value per share at the anchor (AED)	**8.93**			
Bear at 12.0x (C) / bull at 18.5x (D), same construction	8.26	13.09		
Trailing price / earnings	17.76x			
Trailing enterprise value / EBITDA	6.99x			
Dividend-yield cross: FY2026E dividend per share (AED)	0.70			
Peer benchmark dividend yield	4.9%			
Implied value from the yield cross (AED)	14.24			

Normalised earnings lens — mid-cycle margin (FY2028E) a	Value			
Current-scale revenue (FY2026E, AED mn)	16,593			
Mid-cycle EBITDA margin (FY2028E)	47.9%			
Normalised EBITDA (AED mn)	7,945			
Normalised EBIT (AED mn) — less FY2026E depreciation and amortisation	5,710			
Net finance income (FY2026E, AED mn)	4			
Normalised net profit (AED mn)	3,225			
Normalised earnings per share (AED)	0.71			
Implied value per share at the anchor (AED)	**8.94**	bear 12.0x (E) / bu	8.27	13.11

Book lens	Value			
Book value per share (AED)	2.24			
Sustainable return on equity	27.0%			
Trailing return on equity	29.0%			
Perpetual (terminal) cost of equity — a steady-state multiple takes a steady-state ra	6.6%			
Justified price / book	5.38x			
Implied value per share at the anchor (AED)	**11.94**	bear / bull constru	9.54	12.94

Discounted cash flow — the full waterfall

Every line is a live formula: the cost of capital is built below, the glide is derived from the AED risk-free path, and the terminal value is capitalised at the terminal rate and discounted at the year-5 factor

AED mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	16,593	17,240	18,011	18,734	19,424
EBITDA	7,937	8,239	8,624	8,977	9,309
EBITDA margin	47.8%	47.8%	47.9%	47.9%	47.9%
Less depreciation and amortisation	(2,235)	(2,352)	(2,448)	(2,530)	(2,582)
EBIT	**5,702**	**5,887**	**6,176**	**6,446**	**6,727**
NOPAT — EBIT less the combined royalty and tax charge	3,218	3,322	3,485	3,638	3,796
Add back depreciation and amortisation	2,235	2,352	2,448	2,530	2,582
Less capital expenditure	(2,572)	(2,586)	(2,612)	(2,529)	(2,525)
Memo — lease replacement at right-of-use depreciation,	355	350	345	340	335
Less change in working capital	46	43	52	48	46
Free cash flow to the firm	**2,927**	**3,131**	**3,373**	**3,687**	**3,900**
Forward cost of capital	6.69%	6.63%	6.57%	6.52%	6.45%
Discount factor	0.9373	0.8790	0.8248	0.7743	0.7274
Present value of FCFF	**2,743**	**2,752**	**2,782**	**2,855**	**2,836**

TERMINAL VALUE, BRIDGE AND THE ANCHOR ROLL

FY2030E operating profit after tax — the perpetuity grows this once (AED	3,796
Terminal free cash flow — built line by line at rows 70-77 (AED mn)	3,358
Terminal free cash flow as a share of terminal profit	88.5%
Terminal growth — (1+inflation)(1+real growth)−1, both at rows 70-71	2.0%
Terminal cost of capital	6.5%
Terminal value — terminal free cash flow C22 grown one year, capitalised	76,879
Present value of the five forecast years (AED mn)	13,969
Present value of the terminal value (AED mn)	55,920
Terminal value as a share of enterprise value	80.0%
Enterprise value (AED mn)	69,889
Equity value (AED mn)	70,201
Fair value per share at 31-Dec-2025 (AED)	**15.49**

COST OF CAPITAL — BUILT HERE, NOT ASSUMED

Risk-free rate — Jan-2031 AED T-bond (longest liquid AED tenor)	4.48%
Less UAE sovereign default spread (removed to avoid double-counting)	0.04%
Risk-free rate net of the sovereign spread	4.44%
Beta (DU weekly vs the FTSE ADX General, 5 years)	0.557
Equity risk premium (UAE total, MARKET basis)	4.29%
Cost of equity, explicit window	6.83%
Marginal cost of debt (AED sovereign + GCC telecom spread)	5.10%
Cost of debt after tax (interest shields both fiscal legs)	2.88%
Market capitalisation (AED mn)	51,584
Lease liabilities — the only debt-like item (AED mn)	1,939
Debt weight (leases / (leases + market capitalisation))	3.62%
Equity weight	96.38%
Cost of capital, explicit window	**6.69%**
Terminal risk-free rate	4.30%
Terminal risk-free net of the sovereign spread	4.26%
Terminal cost of equity	6.65%
Terminal cost of debt	4.90%
Terminal cost of debt after tax	2.77%
Terminal debt weight	5.00%
Terminal cost of capital	**6.45%**

The glide — inherited from the AED risk-free path,	FY26E	FY27E	FY28E	FY29E	FY30E
AED risk-free path	4.48%	4.44%	4.39%	4.35%	4.30%
Glide fraction — cumulative progress of the easing	0.00%	22.22%	50.00%	72.22%	100.00%

Note: row 16 above is the explicit-window cost of capital walked down to the terminal rate by the glide fraction on row 58. du carries no debt whose cost could define the glide, so the cost-of-money path itself (the AED risk-free path) does — the shape is inherited, not a second free parameter.

THE ANCHOR ROLL — one date, one price of time

Anchor accretion factor — (1 + cost of equity)^(days to anchor / 365)	1.0463
Fair value per share at the 2026-09-07 anchor (AED)	**15.54**

The bridge on row 32 is dated 31-Dec-2025 (the audited balance-sheet date it nets leases and cash at). Row 63 rolls it to the anchor at the cost of equity, net of the AED 0.66 of dividends whose EX-DATE falls in between — TWO dividends, not one: the AED 0.40 final FY2025 (ex 12-Mar-2026, paid 28-Apr-2026) and the AED 0.26 H1-2026 interim (ex 31-Jul-2026, paid 21-Aug-2026). Every lens on every sheet is rolled the same way. This note said the interim "stays in the share" until 08-09-2026, beside a cell that had netted it since 17 August.

THE TERMINAL, LINE BY LINE — capital maintained at replacement cost over the asset life the depreciation notes themselves imply

The retired construction grew terminal profit and deducted a reinvestment rate set by the growth rate over the return on capital, which is arithmetically the same as rebuilding the whole capital base every 1/g years — a fact about the dirham's peg to the dollar rather than about a mobile network. The asset life below is DERIVED from notes 6 and 8: the gross cost of the depreciable owned base over the year's own charge.

Terminal inflation — UAE house macro path	2.0%
Terminal REAL growth (stated)	-
Weighted asset life, derived from notes 6 and 8 (years)	16.7
Terminal operating profit after tax (from row 21)	3,796
Plus depreciation and amortisation — THE FULL FY2030E charge, property	2,582
Less capital maintenance at replacement cost — that charge escalated over	(3,047)
Less capital for real growth, and less inflation on working capital (a CRED	26
Terminal free cash flow	**3,358**
Memo — the no-growth perpetuity at book depreciation, a diagnostic and n	58,809

Income statement — three years historical, five years forecast

AED mn, consolidated. History is the audited record; every forecast line is a formula

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	**13,636**	**14,636**	**15,905**	**16,593**	**17,240**	**18,011**	**18,734**	**19,424**
Direct costs (interconnect, commissions, devices)	-	(4,818)	(5,259)	(5,327)	(5,576)	(5,858)	(6,125)	(6,379)
Segment contribution	-	9,817	10,646	11,266	11,664	12,153	12,609	13,045
Operating expenses before D&A	-	(3,348)	(3,308)	(3,330)	(3,425)	(3,530)	(3,632)	(3,735)
EBITDA	**5,800**	**6,470**	**7,338**	**7,937**	**8,239**	**8,624**	**8,977**	**9,309**
EBITDA margin	42.5%	44.2%	46.1%	47.8%	47.8%	47.9%	47.9%	47.9%
Depreciation and amortisation	(2,198)	(2,154)	(2,168)	(2,235)	(2,352)	(2,448)	(2,530)	(2,582)
Operating profit (EBIT)	**3,601**	**4,316**	**5,170**	**5,702**	**5,887**	**6,176**	**6,446**	**6,727**
Interest income	61	82	75	74	67	63	61	65
Interest expense (principally leases)	(101)	(90)	(95)	(70)	(70)	(70)	(70)	(70)
Share of equity-accounted investments	(3)	(2)	(1)					
Profit before federal royalty and income tax	**3,559**	**4,306**	**5,149**	**5,706**	**5,884**	**6,168**	**6,438**	**6,723**
Federal royalty and income tax	(1,891)	(1,819)	(2,244)	(2,486)	(2,564)	(2,688)	(2,805)	(2,929)
Net profit	**1,668**	**2,488**	**2,905**	**3,220**	**3,320**	**3,481**	**3,633**	**3,794**
Earnings per share (AED)	0.37	0.55	0.64	0.71	0.73	0.77	0.80	0.84
Dividend per share (AED)	0.34	0.54	0.64	0.70	0.72	0.75	0.79	0.82

Notes: FY2024-25 are the audited IFRS 18 face (EBITDA is printed); FY2023 predates IFRS 18 — its by-nature split is not shown ("-") and its EBITDA is derived from audited components and flagged. The historical profit-before-royalty line is the printed figure (small net-impairment items keep it from being a three-line sum; the forecast has none). FY2023 royalty is the old-regime charge (15% of regulated revenue + 30% of regulated profit); no corporate income tax existed before 2024.

Balance sheet — condensed

AED mn, consolidated. Every FY2023-25 line is the audited closing figure. du carries ZERO drawn borrowings in every year shown

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Property, plant and equipment	9,723	9,838	10,289	10,887	11,403	11,860	12,173	12,432
of which depreciation charge (memo)	1,544	1,569	1,558	1,629	1,723	1,805	1,877	1,927
Right-of-use assets	1,597	1,657	1,515	1,515	1,515	1,515	1,515	1,515
Intangible assets (excl. goodwill)	1,111	847	870	963	1,031	1,083	1,109	1,127
of which amortisation charge (memo)	209	210	246	251	278	298	313	320
Goodwill	-	413	413	413	413	413	413	413
Net working capital (royalty accrual excluded)	(965)	(1,220)	(1,062)	(1,108)	(1,152)	(1,203)	(1,251)	(1,297)
Cash and term deposits	1,937	2,283	2,250	2,023	1,899	1,856	1,979	2,158
Lease liabilities (the only debt-like item)	2,105	1,999	1,939	1,939	1,939	1,939	1,939	1,939
Total equity	**9,243**	**9,878**	**10,148**	**10,213**	**10,279**	**10,349**	**10,421**	**10,497**
Net cash after lease liabilities	(168)	285	311	84	(40)	(83)	40	219
Lease liabilities / EBITDA	0.36x	0.31x	0.26x	0.24x	0.24x	0.22x	0.22x	0.21x

Notes: a CONDENSED layout — receivables, payables, contract balances and the royalty accrual are netted inside the working-capital line, so the sheet does not foot to total assets. The FY2023 payables line still contained the royalty accrual (AED 2,033mn, separately disclosed from FY2024); it is excluded here in every year so the series is like-for-like. The lease book is held flat (replacement = depreciation); the FY2025 goodwill balance is carried unchanged. Cash and term deposits roll forward from profit less the ~98% payout — the H1-2026 interims (term deposits nil at 30-Jun-2026 after the AED 4.1bn royalty-plus-dividend outflow) show exactly this mechanic mid-year.

Cash flow — historical markers and the forecast waterfall

AED mn

AED mn	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
EBITDA	6,470	7,338	7,937	8,239	8,624	8,977	9,309
Federal royalty and income tax paid	(1,929)	(1,883)					
Net cash generated from operating activities	4,637	5,230					
Purchase of PP&E and intangibles	(1,920)	(2,353)					
NOPAT	-	-	3,218	3,322	3,485	3,638	3,796
Add back depreciation and amortisation	-	-	2,235	2,352	2,448	2,530	2,582
Capital expenditure	-	-	(2,572)	(2,586)	(2,612)	(2,529)	(2,525)
Memo — lease replacement, NOT deducted (leases are	-	-	355	350	345	340	335
Change in working capital	-	(158)	46	43	52	48	46
Free cash flow to the firm	**-**	**-**	**2,927**	**3,131**	**3,373**	**3,687**	**3,900**
Dividends paid	(1,858)	(2,629)	(3,156)	(3,254)	(3,411)	(3,560)	(3,718)
Cash conversion — operating cash flow as a share of EBITDA, FY2025		71.3%					

du converts EBITDA to operating cash at over 70% AFTER the 43.6% fiscal take — the negative-working-capital model means growth releases cash. The constraint on equity cash flow is the ~100% payout plus the data-centre capex ramp, which is why term deposits fell to nil at 30-Jun-2026.

Summary financials — the eight-year picture

AED mn unless stated. Every cell on this sheet is a link or a ratio; nothing is typed twice

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	13,636	14,636	15,905	16,593	17,240	18,011	18,734	19,424
Revenue growth	-	7.3%	8.7%	4.3%	3.9%	4.5%	4.0%	3.7%
EBITDA	5,800	6,470	7,338	7,937	8,239	8,624	8,977	9,309
EBITDA margin	42.5%	44.2%	46.1%	47.8%	47.8%	47.9%	47.9%	47.9%
EBIT	3,601	4,316	5,170	5,702	5,887	6,176	6,446	6,727
Net profit	1,668	2,488	2,905	3,220	3,320	3,481	3,633	3,794
Free cash flow to the firm	-	-	-	2,927	3,131	3,373	3,687	3,900
Net cash after lease liabilities	(168)	285	311	84	(40)	(83)	40	219
Invested capital	-	11,536	12,025	12,671	13,212	13,668	13,959	14,190
Return on invested capital (average capital)	-	-	-	26.1%	25.7%	25.9%	26.3%	27.0%

Invested capital = PP&E + right-of-use assets + intangibles + goodwill + net working capital (negative for du). FY2023 is not shown because goodwill was not disclosed as a separate line that year.

Probabilistic price map

A map of price dispersion. It carries no view on value and is never blended with the valuation. Each figure is an engine output, not a formula.

Horizon	5th	25th	Median	75th	95th	P(above spot)
One month — to 2026-10-07	10.03	10.91	11.43	11.98	13.06	52.6%
Three months — to 2026-12-07	9.28	10.66	11.54	12.46	14.32	54.7%

Level event	One month	Three months
Finishes 10% or more above spot	11.2%	23.8%
Finishes 10% or more below spot	7.5%	16.1%
Touches 10% above spot at any point	17.9%	41.3%
Touches 10% below spot at any point	12.8%	30.6%

Engine setting	Value	
Simulated paths		50,000
Annualised volatility (3-month anchor)		29.9%
Spot price (AED)		11.38
Anchor date		2026-09-07

Sensitivity — what the valuation needs the world to do

AED per share. Each cell is a complete re-run of the model, including the unit build, so these grids are engine outputs rather than formulas and do NOT redraw when a driver is changed.

Terminal cost of capital (rows) x terminal growth (columns)

	1.5%	2.0%	2.5%	3.0%	3.5%
5.45%	17.70	19.70	22.37	26.13	31.81
5.95%	15.84	17.36	19.31	21.92	25.60
6.45%	14.36	15.54	17.02	18.93	21.48
6.95%	13.15	14.09	15.25	16.69	18.55
7.45%	12.14	12.91	13.83	14.96	16.37

Explicit-window cost of capital (columns) x terminal cost of capital (rows)

	5.69%	6.19%	6.69%	7.19%	7.69%
terminal 5.45%	20.18	19.94	19.70	19.46	19.23
terminal 5.95%	17.78	17.57	17.36	17.15	16.95
terminal 6.45%	15.92	15.73	15.54	15.36	15.18
terminal 6.95%	14.44	14.26	14.09	13.93	13.76
terminal 7.45%	13.22	13.06	12.91	12.76	12.61

Single-driver sensitivities — five engine re-runs per row; the parameter grid for each row is shown beside its name

Driver (parameter grid)						Swing
Beta (regression CI ends, then priors) (0.31 / 0.56 / 0.65 / 0.80 / 1.00)	20.22	15.54	14.28	12.63	10.92	9.31
Combined fiscal take (top of grid = the pre-2024 construction's FY202	16.68	15.54	14.45	13.50	12.52	4.16
Blended ARPU multiplier — applied to BOTH the mobile ARPU and th	13.13	14.33	15.54	16.75	17.96	4.84
Subscriber path shift ('000) — applied in full to the mobile base and a	14.76	15.15	15.54	15.94	16.33	1.57
Direct cost per unit, multiplicative (0.94x / 0.97x / 1.00x / 1.03x / 1.0	16.54	16.04	15.54	15.04	14.54	2.00
Blended ARPU drift per year (mix exhaustion) (-2.5% / -1.5% / +0.0%	12.70	13.81	15.54	16.14	16.74	4.04
Capex path multiplier (0.850x / 0.925x / 1.000x / 1.100x / 1.200x)	16.45	16.00	15.54	14.94	14.33	2.12
Working capital / revenue (-10.0% / -8.5% / -6.7% / -5.0% / -3.0%)	15.73	15.65	15.54	15.45	15.34	0.39
Asset life, years — derived from the depreciation notes (10.7 / 13.7 /	16.22	15.89	15.54	15.19	14.83	1.39
Terminal growth (at base cost of capital) (1.5% / 2.0% / 2.5% / 3.0% /	14.36	15.54	17.02	18.93	21.48	7.12

Per-share and ratio analysis

The indicator set for an integrated telecom operator: ARPU, subscribers, margin, capital intensity, cash conversion and the dividend. Every ratio is a formula off the statements.

Measure	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Earnings per share (AED)	0.37	0.55	0.64	0.71	0.73	0.77	0.80	0.84
Dividend per share (AED)	0.34	0.54	0.64	0.70	0.72	0.75	0.79	0.82
Payout ratio	92.4%	98.4%	99.9%	98.0%	98.0%	98.0%	98.0%	98.0%
Dividend yield at the anchor spot	3.0%	4.7%	5.6%	6.1%	6.3%	6.6%	6.9%	7.2%
Book value per share (AED)	2.04	2.18	2.24	2.25	2.27	2.28	2.30	2.32
Free cash flow to the firm per share (AED)	-	-	-	0.65	0.69	0.74	0.81	0.86
EBITDA margin	42.5%	44.2%	46.1%	47.8%	47.8%	47.9%	47.9%	47.9%
EBIT margin	26.4%	29.5%	32.5%	34.4%	34.1%	34.3%	34.4%	34.6%
Net margin	12.2%	17.0%	18.3%	19.4%	19.3%	19.3%	19.4%	19.5%
Return on equity	-	26.0%	29.0%	31.6%	32.4%	33.7%	35.0%	36.3%
Return on invested capital	-	-	-	26.1%	25.7%	25.9%	26.3%	27.0%
Capital expenditure / revenue (capital intensity)	-	-	-	15.5%	15.0%	14.5%	13.5%	13.0%
Lease liabilities / EBITDA	0.36x	0.31x	0.26x	0.24x	0.24x	0.22x	0.22x	0.21x
Working capital / revenue	(7.1%)	(8.3%)	(6.7%)	(6.7%)	(6.7%)	(6.7%)	(6.7%)	(6.7%)
Operating KPIs (company-disclosed history, house forecast)								
Mobile subscribers, end of year ('000)	-	8,916	9,704	9,450	9,760	10,010	10,240	10,450
Fixed subscribers, end of year ('000)	-	682	735	760	790	815	838	858
Blended mobile ARPU (AED/month)	-	65.8	63.3	63.4	63.6	63.8	64.0	64.2

Subscriber and ARPU history are the company's own year-end prints; FY2023 is not shown because the KPI series in the current disclosure pack starts at Q4-2024. The Q2-2026 actual mobile base is 9,280k after the war quarter (total base −412k on the quarter), which is the base the forecast recovers from.

Peer frame and sector context

Aggregator multiple reads, labelled cross-check — never a build source. du computed from its own audited figures

Company	Market	Trailing P/E	Dividend yield	Relevance / caution
e& (EAND)	UAE (ADX)	~20.7x	~4.8%	the other half of the duopoly; scale, international assets and a higher multiple
stc	Saudi Arabia	~18.9x	~5.2%	regional benchmark payer; the yield anchor for the cross-check
Mobily	Saudi Arabia	~15.5x	~2.9%	closest structural analogue — the #2 operator that closed the gap; the justified P/E
Ooredoo	Qatar	~12.5x	~4.6%	multi-market; softer growth, lower multiple
Zain	Kuwait	~9x	~6-7%	levered multi-market; the low end of the bracket
Omantel	Oman	~11.4x	~6.7%	small-market incumbent; yield-heavy
Deutsche Telekom / Vodafone	Developed markets	n/m	3.4% / n/m	the developed-market bracket: slower growth, more leverage, lower returns

du own multiples (computed live)	Value
Trailing price / earnings	17.76x
Trailing enterprise value / EBITDA	6.99x
Trailing dividend yield (FY2025 DPS / spot	5.6%
Justified price / earnings applied	12.90x

Peer EV/EBITDA was not reliably sourceable from public aggregators at the sweep date (net-debt figures missing); the relative lens therefore runs on P/E and dividend yield, both sourced, and that limitation is stated rather than papered over.